

END-TO-END PROJECT: SUPERMARKET CUSTOMER RATING PREDICTION SYSTEM

Course: Data Science and Machine Learning

Project Type: Predictive Analytics & Model Development

Environment: Kaggle / Jupyter Notebook

Target Variable: Rating (Regression/Classification)

Serialization: Joblib or Pickle

Dataset: <https://www.kaggle.com/datasets/alexhuitron/supermarket-sales>

Time Frame: 2 Weeks

PROJECT OVERVIEW

The objective of this project is to build a machine learning pipeline to predict the **customer satisfaction rating** of supermarket transactions. By analyzing factors such as product line, payment method, and transaction volume, the system aims to identify what drives a high-quality shopping experience.

The student must:

- Perform detailed exploratory data analysis (EDA) on retail transaction data.
- Handle categorical encoding for features like "Branch," "Customer type," and "Product line".
- Train and compare multiple machine learning models for regression (predicting the exact 1-10 score) or classification (predicting "High" vs "Low" rating).
- Evaluate models using appropriate performance metrics.
- Select and justify the best model for business insights.
- Serialize the trained model and preprocessing pipeline for future use.

DATASET DESCRIPTION

- **Dataset Name:** Supermarket Sales
- **Total Records:** 1,000 transactions
- **Total Features:** 17 columns
- **Target Variable: Rating** (Customer satisfaction rating).

Key Features:

- **Branch & City:** Location of the supercenter (Branches A, B, C).
- **Customer Type:** Member or Normal.
- **Gender:** Female or Male.
- **Product Line:** Category of product (e.g., Electronic accessories, Fashion accessories, Health and beauty).
- **Unit Price & Quantity:** Price per unit and number of items.
- **Tax 5%, Total, COGS:** Financial breakdown of the transaction.

- **Payment:** Method used (Cash, Ewallet, Credit card).
- **Date & Time:** When the transaction occurred.

PHASE 1: DATA EXPLORATION AND PREPROCESSING

This phase must be implemented in a Jupyter Notebook (`supermarket_rating_analysis.ipynb`).

Step 1: Load and Inspect Data

- Check for missing values
- Check for duplicate Invoice IDs.
- Display summary statistics (Mean rating is ~6.97).

Step 2: Exploratory Data Analysis (EDA)

- **Rating Distribution:** Plot a histogram of ratings to see the spread between 4 and 10.
- **Branch Comparison:** Average rating per branch to identify performance gaps.
- **Gender/Customer Type Analysis:** Compare satisfaction levels between Members and Normal customers.
- **Correlation Heatmap:** Identify relationships between "Total" sales, "Quantity," and the "Rating".
- **Time Series Analysis:** Check if ratings fluctuate based on the hour of the day or day of the week.

Step 3: Feature Engineering & Preprocessing

- **Categorical Encoding:** Apply One-Hot Encoding to "Branch," "Product line," and "Payment".
- **DateTime Features:** Extract "Hour" and "Weekday" from the Time and Date columns.
- **Feature Scaling:** Apply `StandardScaler` to numerical values like "Unit price" and "Total".

Step 4: Train-Test Split

- Split the data (e.g., 80/20) into training and testing sets.

PHASE 2: MODEL TRAINING AND SELECTION

The student must train at least three models to predict the **Rating**:

1. **Model 1: Linear Regression** (Baseline model for regression tasks).
2. **Model 2: Random Forest Regressor** (To capture non-linear relationships between product categories and ratings).
3. **Model 3: XGBoost or Gradient Boosting** (To optimize prediction accuracy).

(Alternative: If treated as a classification task, models like Logistic Regression and Random Forest Classifier can be used by binning ratings into 'High' and 'Low').

MODEL EVALUATION METRICS

Because this is a regression problem (predicting a score), evaluation must include:

- **Mean Absolute Error (MAE):** Average magnitude of errors.
- **Root Mean Squared Error (RMSE):** To penalize larger rating errors.
- **R-squared (R^2):** To determine how well the features explain the rating variance.

The student must:

- Present a comparison table of all models.
- Select the best model based on the lowest RMSE/MAE.
- Discuss which features (e.g., Payment method or Product line) were most influential in predicting high ratings.

MODEL SERIALIZATION

- Save the best-performing model using `joblib` or `pickle`.
- Save the preprocessing objects (encoders and scalers).
- **Files to be delivered:** `rating_model.pkl` and `preprocessor.pkl`.

FINAL SUBMISSION REQUIREMENTS

1. **Complete Jupyter Notebook:** Including EDA, data cleaning, and model training.
2. **Serialized Model Files:** The `.pkl` files for the model and scaler.
3. **Technical Report (1–3 pages):** * Insights from EDA (e.g., which branch has the highest satisfaction).
 - Model comparison table.
 - Final model justification.
 - Future improvements (e.g., collecting more sentiment-based data).